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Asia Compass | Asia Pacific

Where the Cycle Is Shifting

Some of the more interesting shifts in markets right now are happening where old assumptions are starting to break down. Japan is a case in point. After decades of subdued investment and exceptionally low rates, corporate spending is picking up and the financial system is operating in a very different environment. For banks, that raises a bigger question than what higher rates mean for margins: whether a sustained investment cycle can reshape the industry's growth prospects altogether.

That shift extends beyond banking. Japan's insurers have become increasingly global businesses, bringing a different set of opportunities and pressures into the earnings picture. And against a broader backdrop in which higher US yields and a firmer dollar are testing emerging markets, the contrast is striking: Japan's financials are increasingly being shaped by structural changes at home and a growing footprint abroad. This edition looks past the immediate moves in rates and markets, to consider how those changes are reshaping the sector's longer-term potential.

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Three Key Reports: Japan Financials: The Next Growth Chapter



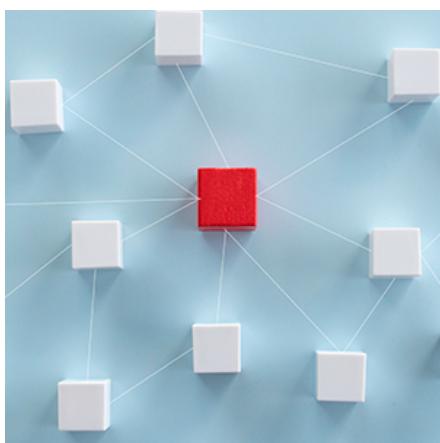
Once-in-30-Year Capex Cycle: Tailwind for Bank Re-Rating

Japan's banks are entering a second act: a three-decade capex cycle could fuel lending, M&A, and fee growth. With stronger funding and capital efficiency, megabank ROEs could approach 15%, shifting the story from higher rates to structural growth.



Mizuho Financial Group: Superior Banking Franchise with Structural Earnings Growth

Japan's banks offer visible growth as higher rates, investment, and restructuring lift lending and fees. Mizuho stands out for its deposits, cost discipline, and capital efficiency, evolving from a rates trade into a structural growth story.



Insurance: Examining the Impact of Falling Overseas Premium Rates

Japan's non-life insurers are increasingly global, making overseas performance critical to earnings. With up to 60% of premiums now generated abroad, geographic exposure, business mix, pricing trends, and pricing power will increasingly shape profits.

Beyond the Headlines: What Now for EM?



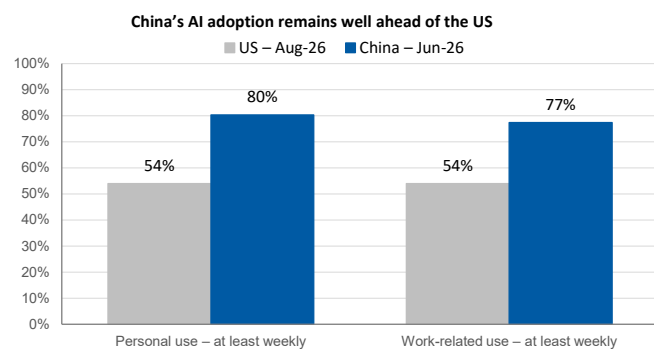
Higher US yields and a firmer dollar raise the bar for EM across local and credit, but contained volatility, stronger fundamentals and resilient spreads point to subdued returns rather than a disorderly sell-off. We are not selling and would look to time a move to bullish should valuations overshoot.

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Not to Be Missed

One Chart You Can't Miss

Exhibit 1: China's AI adoptions remain well ahead of the US



Source: AlphaWise, Morgan Stanley Research. China fieldwork Jun 30–Jul 2, 2026; US Aug 2026 wave.

Must-Listen Podcast



The Stock Market's Bad Breadth

Fewer companies have been driving equity market gains in 2026. Our CIO and Chief US Equity Strategist Mike Wilson looks at what investors should make of the narrowing rally as the year enters its final stretch.

We expect volatility to remain heightened and emphasize our wider bull-to-bear spread across the region.

Exhibit 2: Key Market Forecasts and Key Macro Forecasts

Market/Region (Index)	MS Rating	Latest Price	Jun 2027 Index Target						12mf P/E Valuations		
			Bear Case (%)		Base Case (%)		Bull Case (%)		Current	10yr Avg	% +/-
MSCI Emerging Markets	EW	1,702	1,100	-35.4%	1,800	5.8%	2,200	29.3%	9.7	12.3	-21%
MSCI Asia Pac ex Japan	-	878	590	-32.8%	900	2.6%	1,120	27.6%	10.5	13.6	-23%
Japan (TOPIX)	OW	4,041	2,600	-35.7%	4,300	6.4%	4,900	21.3%	15.4	14.2	8%
China (MSCI China)	EW	72	60	-16.8%	80	10.9%	97	33.9%	10.1	11.8	-14%
China A-Shares (CSI 300)	-	4,345	3,290	-24.3%	4,880	12.3%	5,640	29.8%	12.4	12.4	0%
Hong Kong (Hang Seng)	EW	24,524	17,700	-27.8%	26,550	8.3%	31,900	30.1%	10.1	10.7	-6%
Australia (S&P/ASX 200)	EW	8,709	6,850	-21.3%	9,250	6.2%	10,325	18.6%	17.5	16.5	6%
India (SENSEX)	EW	72,529	66,000	-9.0%	89,000	22.7%	100,000	37.9%	16.9	19.1	-12%
South Korea (KOSPI)	OW	6,871	5,500	-20.0%	9,000	31.0%	10,500	52.8%	5.6	10.4	-46%
Latin America (MSCI LatAm)	-	3,011	2,300	-23.6%	3,600	19.5%	4,700	56.1%	9.4	10.8	-13%
Brazil (Bovespa)	OW	183,828	145,000	-21.1%	240,000	30.6%	280,000	52.3%	8.5	10.3	-17%
Mexico (MEXBOL)	EW	65,111	62,000	-4.8%	80,000	22.9%	90,000	38.2%	12.4	14.0	-11%
USA (S&P 500)	-	7,671	5,900	-23.1%	8,300	8.2%	9,400	22.5%	19.2	19.2	0%
Europe (MSCI Europe)	-	2,550	1,820	-28.6%	2,810	10.2%	3,080	20.8%	14.2	14.2	0%

Source: FactSet, IBES, Morgan Stanley Research estimates. Data as of 29 September, 2026

Exhibit 3: Key Cross-asset Allocation Views

Global Asset Allocation					Relative Equity Allocation					Relative Tsy Allocation				
Equities					US					USTs				
Bonds					Europe					EGBs				
Credit					Japan					JGBs				
Comms					EM									
Cash														

Source: Morgan Stanley Research

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(as of September 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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